E-CHOUPAL [33]

The e-Choupal, the first private sector initiative by the private sector in agricultural marketing, is a business platform consisting of a set of organisational subsystems and interfaces connecting farmers to global markets. This common structure can be leveraged to procure/provide a host of products and services for the farmer as a producer as well as a consumer. The e-choupal business platform consists of three layers, each at different levels of geographic aggregation. Each of the three layers is characterised by three key elements:

(a) The infrastructure (physical or organisational) through which transactions take place,

(b) The entity (person or organisation) orchestrating the transactions, and

(c) The geographical coverage of the layer.

The first layer consists of the village-level kiosks with internet access (or e-Choupal), managed by an ITC-trained local farmer (called a Sanchalak) and within walking distance (1–5 kilometres) of each target farmer. The relatively sparse population density in rural India justified the location of one e-Choupal per cluster of five villages. The second layer consists of a bricks-and-mortar infrastructure (called hubs) managed by the traditional intermediary who has local knowledge/skills (called a Samyojak in his new role) and within tractorable distance (25–30 kilometres) of the target farmer. The ITC chose to operate the platform on the following three business principles:

(a) Free information and knowledge which ensures wider participation by the farmer.

(b) Freedom of choice in transactions (farmers, after accessing information at the e-Choupal, are free to transact their own way).

(c) Transaction-based income stream for the Sanchalak by tying his revenue stream to the transaction (on a commission basis).

TRIFED